**Adjusting entry**

| Particulars | | L.F. | Debit ₹ | Credit ₹ |
|---|---|---|---|---|
| Accrued income A/c | Dr. | | xxx | |
| To Concerned income A/c | | | | xxx |
| (Income accrued adjusted) | | | | |

## Presentation in final accounts

| | |
|---|---|
| In Profit and loss A/c | Amount accrued is added to particular income. |
| In Balance Sheet | Amount of accrued income is shown on the assets side under current assets. |

## Tutorial note

1. If accrued income account appears in the trial balance with debit balance, it means that journal entry has been made already for accrued income. Hence, the accrued income account will be shown only in the assets side of balance sheet. No adjustment is necessary in income account as already it would have been adjusted.
2. At the beginning of the next accounting period, the above entry is reversed to bring into account accrued income at the beginning, so that it is reduced from amount of income in the next year.

## Example

A business has a fixed deposit of ₹1,00,000 with a bank for 12 months in the accounting period ending 31st March, 2018 @ 9% interest p.a. Interest received during the year was ₹6,750.

In this example, income earned is ₹9,000 (i.e., 1,00,000 × 9%). Income received is ₹6,750. Hence, the income earned but not received, is the accrued interest ie., ₹2,250 (9,000 - 6,750). The adjusting entry is:

**Adjusting entry**

| Date | Particulars | | L.F. | Debit ₹ | Credit ₹ |
|---|---|---|---|---|---|
| 2018 | Accrued interest on fixed deposit A/c | Dr. | | 2,250 | |
| March 31 | To Interest on fixed deposit A/c | | | | 2,250 |
| | (Interest accrued but not received adjusted) | | | | |

In final accounts, it is presented as follows:

**Dr. Profit and loss account for the year ended 31st March, 2018 Cr.**

| Particulars | ₹ | ₹ | Particulars | ₹ | ₹ |
|---|---|---|---|---|---|
| | | | By Interest on fixed deposit | 6,750 | |
| | | | Add: Accrued interest | 2,250 | 9,000 |

**Balance Sheet as on 31st March, 2018**

| Liabilities | ₹ | Assets | ₹ |
|---|---|---|---|
| | | Accrued interest on fixed deposit | 2,250 |

## (v) Income received in advance

Income received in advance refers to income or portion of income received in an accounting year which is not earned in the accounting period. It is also known as unearned income or unexpired income. Though the amount is received in the current accounting year, the benefit is yet to be offered to the concerned person in the next accounting year.



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